

About Value Emergence Standard (VES)

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Architecture: VFM® — Value Flow Mechanisms Architecture Category: Governance & Enforcement Subcategory:
Value Lifecycle Governance Parent Standard: Value Emergence Standard (VES) Governed Space: Value Emergence

Canonical Definition

Value Emergence Standard (VES) governs the transition through which potential value arising from an identified Value Origin becomes existent value within a defined Value Context.

The Standard establishes the conditions, thresholds, events, and determinations necessary to distinguish:

Potential Value → Existing Value

Its central architectural distinction is:

Value Origin ≠ Value Emergence

A source, capability, relationship, object, activity, resource, condition, or opportunity may possess the potential from which value can arise without that value yet existing.

VES governs the point at which that distinction changes.

Why VES Matters

Organizations frequently treat the existence of a valuable resource, capability, technology, asset, relationship, opportunity, or potential benefit as if value already exists.

This can create a fundamental methodological error.

A patent may contain technological potential without generating usable value.

Infrastructure may exist without creating operational value.

Data may exist without producing informational or economic value.

Capital may be allocated without producing productive value.

A capability may exist without creating value for any beneficiary.

VES provides the governance structure for determining when potential value has actually crossed into existent value.

Governance Flow

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

Within this lifecycle, Value Emergence occupies the critical transition between:

Value Origin → Value Emergence → Value Recognition

The preceding Value Origin Standard establishes where value can originate.

The Value Emergence Standard establishes when value actually comes into existence.

The subsequent Value Recognition Standard governs when that existing value may be recognized within its defined governance context.

Therefore:

Source of Value $\neq$ Existence of Value $\neq$ Recognition of Value

From Potential to Existence

VES treats value emergence as a governable transition rather than an assumption.

The architecture asks whether the conditions necessary for value existence have actually materialized.

This may involve identifying:

Emergence Conditions → what must exist for potential value to become actual value.

Emergence Threshold → what minimum condition or level separates potential value from existent value.

Emergence Event → what occurrence, change, interaction, activation, realization, or other event caused value to emerge.

Emergence Determination → the governed determination that value has crossed from potential into existence.

Emergence Record → the documented basis showing why, when, where, and under which conditions emergence was determined.

The result is a reconstructable value-emergence pathway rather than an unsupported assertion that value exists.

What VES Does Not Determine

VES does not determine:

who owns the value; the legal status of the underlying object; market price; accounting treatment; tax treatment; transaction status; payment status; asset identity; universal acceptance; validation status; integrity status.

Those questions may belong to other governance architectures, legal systems, accounting frameworks, markets, or institutional processes.

VES answers a narrower foundational question:

Has potential value actually become existent value within the governed Value Context?

Use Case 1 — Technology and Intellectual

Capability

An organization develops a new technology, algorithm, patent, industrial process, dataset, or technical capability.

Considerable money and expertise may have been invested in creating it.

The underlying object clearly exists.

Its potential may also be substantial.

But those facts alone do not establish that the anticipated value has emerged.

VES allows the organization to distinguish:

Resource Exists → Value Potential Exists → Emergence Conditions Are Satisfied → Value Emerges

For example, a technical capability may begin producing measurable operational benefit, reducing resource consumption, enabling previously impossible functionality, or creating a usable capability for a defined beneficiary.

VES provides the methodological point at which the organization can determine:

the potential source has now produced existent value.

This distinction can improve investment assessment, innovation governance, portfolio management, technology evaluation, and strategic decision-making because organizations no longer need to equate investment made or asset created with value created.

Use Case 2 — Banking, Infrastructure and

Capital Deployment

A bank, investment institution, government, infrastructure operator, or enterprise allocates capital to a project.

Capital deployment itself does not prove that value has emerged.

A project may receive CHF 100 million and still fail to produce the intended economic, operational, social, infrastructural, or strategic value.

VES allows the lifecycle to remain explicit:

Capital Allocation → Value Source / Potential → Emergence Conditions → Emergence Threshold → Value-Producing Event or Condition → Existing Value

The institution can therefore distinguish between:

money spent

and

value actually brought into existence.

That distinction can become especially important in public investment, banking, infrastructure, industrial transformation, large technology programs, and other environments where financial expenditure is often easier to measure than the value that expenditure ultimately produces.

Enterprise Value

VES creates a formal methodological gateway between value potential and value existence.

This allows organizations to ask a question that conventional financial or operational reporting may not answer directly:

Did this activity merely consume resources and create potential, or did value actually emerge?

That distinction can support:

investment governance; capital allocation; banking and finance; innovation portfolios; infrastructure programs; technology development; public expenditure analysis; industrial transformation; AI and automation programs; cost-reduction initiatives; strategic capability development.

VES does not prescribe what organizations must consider valuable.

It provides the governance structure through which they can determine whether the value defined within their Value Context has actually emerged.

Foundational Principle

A source capable of producing value is not the same as value itself. Value enters the governed lifecycle only when potential value crosses a defined emergence boundary and becomes existent value.

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Related Documents

→ [Value Emergence Standard \(VES\)](#)

→ [VFM® Complete Standards & Modules Index](#)

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Canonical Source

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